

insurance would pay the first \$300,000 of damages, and the umbrella policy would pay the next \$600,000. In addition, many umbrella policies will pay for your legal defense.

Umbrella insurance (or excess liability insurance) is extremely inexpensive. For \$300 a year or less you can usually purchase \$1 million of umbrella coverage. However, you have to maintain minimum required coverage limits on your homeowner's and auto insurance policies.

Group or Individual?

If your employer offers insurance benefits, you should take advantage of the low-cost coverage available in group insurance plans. However, remember that your insurance coverage is tied to your job. If you change jobs or quit working, your insurance coverage may go away.

Most people should investigate individual life and disability policies. If your employer offers these benefits, you may find that it's not enough to meet your needs. While you can often purchase more through your job, you should compare the costs with an individual policy. An individual policy can stay with you for multiple jobs—and cover you when you're self-employed.